Independent Assessment and Published Auditor Reporting

Global Fashion Group S.A. | FY2025 consolidated financial statements

Stage 9 comparison addendum | Version 1.1 | Revised 31 October 2026

Prepared after the independent Version 1.1 assessment was frozen. The author-reported chronology is not independently verifiable from the public files; a checksum identifies file contents but does not establish when they were frozen.

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Educational public-source comparison. No statutory audit was performed by the project author. None of the 45 proposed procedures was performed; no GFG accounting records were tested; no audit opinion is expressed.

Executive summary

The frozen independent assessment clearly aligns with three published consolidated KAM topics, partially aligns with two, and has no direct match for four risks. EY also reported a tax-contingencies KAM that the nine independent categories did not separately anticipate. These classifications compare themes and central accounting mechanisms; they do not establish that the independent work detected a misstatement or that the published KAM list is exhaustive.

Result	Count	Interpretation
Clear alignment	3	R01 inventory; R03 revenue occurrence/cut-off/returns core; R06 impairment.
Partial / indirect	2	R02 gross-versus-net principal/agent vs broader revenue KAM; R05 development-cost recognition vs impairment KAM.
No direct alignment	4	R04 factoring derecognition; R07 financing and leases; R08 cash-flow classification; R09 liquidity disclosures.
Published matter not anticipated as a separate category	1	EY KAM on income and indirect tax contingencies and tax positions.

The strongest overlap is on inventory measurement and recoverability/impairment. Revenue alignment is also meaningful, but must be kept precise: R03 overlaps the KAM's revenue occurrence, delivery cut-off and returns components; R02's principal-versus-agent mechanism is not specifically identified in EY's published KAM title or risk description. R05 concerns whether development expenditure qualifies for recognition and its useful life, whereas EY's KAM concerns impairment of goodwill and acquired intangible assets.

The project's main methodological limits remain: public disclosures only; no contracts, ledgers, transaction data, forecasts or controls tested; and all 45 proposed procedures unperformed. The comparison is a learning exercise, not an evaluation of EY's audit quality.

Sources: frozen V1.1 risk register; GFG Annual Report 2025, Section 6.2, printed pp.119–123.

Baseline and published report

Independent baseline confirmed before comparison

The author records that the Version 1.1 archive was preserved before consulting the auditor-report section. Its SHA-256 is 74ff40d9073aff4d4209b8fc8e01058cff075a5f4676fd5ed207578527782ba2; the ZIP integrity test passed. The checksum helps identify the file and confirm integrity, but it does not prove the freeze date. The supporting freeze manifest and detailed risk workpapers are not included in this public release, so readers cannot independently verify the chronology. The archive records nine risk categories, 31 substantive assertion mappings and 45 proposed procedures; none was performed.

The original Stage 8 report was checksum-verified and preserved unchanged as the source for the separately versioned public case study. The current public case-study PDF is v1.1.

Auditor, period and report boundaries

The original source is GFG's FY2025 Annual Report, issued on the company's Investor Relations site. Section 6.2 is EY's Independent Auditor's Report on the Consolidated Financial Statements for the year ended 31 December 2025. The report is signed by Ernst & Young Société anonyme, Cabinet de révision agréé, through Gabriel De Maigret in Luxembourg on 3 March 2026. This addendum uses Section 6.2, printed pages 119–123 only. The separate parent-company auditor report in Section 6.3 is excluded.

EY explains that KAMs are matters of most significance in the current-period consolidated audit, were addressed in the audit as a whole, and do not receive a separate opinion. This definition frames the comparison: KAMs are selected matters, not a catalogue of every financial-statement risk.

Published consolidated KAM	Printed pages	EY's stated focus (summary)
Revenue Recognition and Returns Allowances	120–121	Revenue occurrence and measurement, expected sales returns, delivery timing and high-volume ecommerce transactions.
Inventories and Inventory Allowances	121	Excess and slow-moving/obsolete stock, markdowns, demand and fulfilment assumptions, NRV and provisions.
Non-identification of Impairment on Goodwill and Other Intangible Assets	121–122	Goodwill and acquired intangible measurement using business-plan forecasts and valuation assumptions.
Recognition of Income and Indirect Tax Contingencies and Tax Positions	122	Uncertain income and indirect tax positions, territoriality and management's provision judgements.

Direct source: GFG FY2025 Annual Report · Section 6.2 · p.119 · Report identification and signature, p.123

What EY reported and how it responded

The points below paraphrase EY's public report. They are EY-attributed statements, not procedures performed by the project author. The short descriptions are selective summaries, not full reproductions of the report.

KAM and auditor-reported risk	EY-reported response (summary)	Reference
Revenue Recognition and Returns Allowances. EY describes high-volume direct-to-consumer revenue, expected-return estimates shaped by location, customer/product and historical factors, and risk around occurrence and measurement.	EY reports walkthroughs and testing of relevant controls and IT; ecommerce-to-ledger reconciliation; IFRS 15 assessment; credit-note and reversal work; delivery cut-off; coupon/discount allocation; recalculation and assumption testing for return provisions; selected billing, credits, receipts, invoices and delivery records; substantive analytics; ECL and disclosures.	pp.120–121
Inventories and Inventory Allowances. EY describes excess stock and discounting, slow-moving/obsolete provisions and judgement over demand, supply chain, fulfilment and disposal.	EY reports assessment of IFRS accounting policies; observation of physical counts; sampled cost and NRV tests; provision recalculation/assumption review; inventory-report and category analysis; comparison of expected sell-through timing with actual sales; disclosure review.	p.121
Non-identification of Impairment on Goodwill and Other Intangible Assets. EY reports goodwill €51.6m and other intangible assets €56.0m, with forecast and economic-assumption uncertainty.	EY reports assessment of CGU determination and historical forecast accuracy; review of cash-flow assumptions with external information; valuation experts' input on WACC, inflation and terminal growth; value-in-use recomputation and carrying-value comparison; sensitivity and disclosure assessment.	pp.121–122
Recognition of Income and Indirect Tax Contingencies and Tax Positions. EY describes judgmental and material uncertain tax positions, including VAT/territoriality, tax-authority interpretations, and income allocation across territories.	EY reports review of management assumptions and external advice, use of tax specialists where relevant, assessment of recoverability of indirect-tax receivables and completeness of indirect-tax payables, and disclosure review.	p.122

EY's use of "included, amongst others" signals that the report's response summaries are not necessarily exhaustive. We therefore describe only what the public report states and do not infer the underlying audit file or broader procedures.

Independent versus published comparison

Classifications apply to each original risk category, preserving its original priority. “Clear” means the core accounting risk is substantially the same. “Partial / indirect” means a neighboring theme or subset overlaps but the central mechanism differs. “No direct” means no consolidated KAM directly describes the central mechanism. The methodology file contains the full decision rules.

Risk	Priority	Classification	Published matter	Basis and boundary
R01	P1	Clear	KAM 2 — Inventories and Inventory Allowances	Both focus on inventory valuation/NRV and allowance estimates, including markdowns, excess, slow-moving or obsolete goods. Same core accounting risk. (p.121)
R02	P1	Partial / indirect	KAM 1 — Revenue Recognition and Returns Allowances	Broad revenue topic and IFRS 15 procedures overlap. R02’s central issue is principal-versus-agent gross/net presentation based on contract terms; the KAM does not specifically identify that mechanism. (pp.120–121)
R03	P2	Clear (core components)	KAM 1 — Revenue Recognition and Returns Allowances	Direct alignment for occurrence/measurement of revenue, delivery cut-off and expected returns. The public KAM summary does not necessarily cover every R03 subtopic, such as gift-card obligations or all revenue deferrals. (pp.120–121)
R04	P1	No direct	None identified	EY mentions expected credit losses on trade receivables within the revenue response, but that is distinct from R04’s factoring transfer, derecognition and associated-financing-liability mechanism. (p.121)
R05	P2	Partial / indirect	KAM 3 — Non-identification of Impairment on Goodwill and Other Intangible Assets	Both relate to intangible assets, but R05 concerns IAS 38 development-cost recognition and useful lives; the KAM focuses on impairment of goodwill and acquired trademarks/customer relationships. Topic proximity only. (pp.121–122)
R06	P1	Clear	KAM 3 — Non-identification of Impairment on Goodwill and Other Intangible Assets	Both concern recoverability/impairment supported by forecasts and valuation assumptions. EY describes goodwill and acquired intangibles group-wide; do not infer the same regional CGUs as R06’s sub-mappings. (pp.121–122)
R07	P2	No direct	None identified	None of the four consolidated KAMs directly addresses convertible-bond or lease measurement, interest or current/non-current classification.
R08	P2	No direct	None identified	None of the four consolidated KAMs directly addresses classification of financing transactions in cash flows.
R09	P2	No direct	None identified	None of the four consolidated KAMs directly addresses the independent category’s liquidity-disclosure mechanism.

Interpretation, omissions and limitations

What aligned well

Inventory valuation (R01) and impairment/recoverability (R06) show precise topic and mechanism alignment with published KAMs. R03 also anticipated core published revenue matters: occurrence, delivery cut-off and expected returns. The public data's business-model and accounting-note context helped focus the independent assessment on areas where estimates, transaction volume or contractual interpretation could matter.

What was not anticipated or only adjacent

The independent category set did not include a distinct tax-contingency and uncertain-position risk (KAM 4). This suggests that future work should deliberately scan tax expense, indirect-tax receivables/payables, provisions, uncertain-position notes and geography-specific tax disclosures as part of business understanding and note triage. R02 and R05 also show why broad label similarity is insufficient: principal-agent presentation differs from the broader revenue/returns matter, and IAS 38 capitalization differs from impairment testing.

R04 is not rescued into alignment by EY's ECL receivables procedure. Expected credit loss and factoring derecognition are different accounting questions. R07–R09 lack a direct match among the four published KAMs, but their absence from the KAM list does not invalidate those independently developed hypotheses.

Limits of the comparison

The independent assessment was based on public reporting and aggregate data. No contracts, ledger populations, source transaction records, internal control descriptions for testing, impairment models, tax files or management representations were available. The audit report's short public descriptions cannot establish the full scope, extent, results or evidence behind EY's work. This comparison is not a re-performance, quality inspection or assessment of EY's procedures.

Neither a thematic match nor a shared assertion proves that we detected an actual misstatement. A KAM describes a matter that EY judged most significant in that audit; it does not imply a misstatement existed. Conversely, no KAM match does not establish that a potential risk lacked merit or was immaterial.

Source boundary: original FY2025 Annual Report Section 6.2, pp.119–123; frozen V1.1 baseline. Parent-company report and other auditor or governance disclosures are outside this addendum.

AI methodology and Project 2 lessons

What the independent work identified successfully

The assessment independently prioritized inventory valuation, principal-versus-agent revenue presentation, factoring derecognition and impairment as Priority 1 themes. Three of those categories have clear or core-component alignment with published KAM subjects; the principal-agent risk is only partially adjacent to revenue recognition. The assessment also retained separate cash-flow and liquidity hypotheses rather than assuming those were covered by other topics.

How AI helped and where human verification mattered

AI-assisted work helped organize disclosed facts, draft analytical observations, explain accounting concepts, and structure traceable Python/Excel checks. Human review was necessary to verify material numbers against sources and formulas, distinguish fact from hypothesis, and keep public-source limitations visible. The public Python–Excel package publishes all 76 defined checks, the workbook and the detailed reconciliation; it compares Python outputs with saved workbook results and does not test company records. The Stage 7 validation log also records a provisional 0.84 percentage-point inventory provision-ratio error, corrected to 0.80 percentage points after independent recalculation. It records narrowing an overbroad supplier-finance/NWC statement because the public disclosures did not map those balances to the NWC payable component. The files are available in the downloadable Python + Excel package.

AI output was not accepted as self-validating. The KAM comparison likewise required human judgement to separate ECL from factoring derecognition, development-cost recognition from impairment, and core R03 revenue overlap from R02 principal-agent presentation.

Improvements for Project 2

Improvement	Practical application
Broader risk coverage	Add a structured tax and regulatory note scan, including income tax, VAT/indirect taxes, uncertain positions, receivables and payables across jurisdictions.
Explicit mechanism mapping	For each candidate risk, record the accounting unit, recognition/measurement/presentation mechanism, assertion, public source, and what evidence is unavailable.
AI traceability	Require each AI-generated numeric or accounting claim to carry a source locator or calculation ID and a validation status.
Separate screening from conclusions	Use synthetic AP/GL datasets for analytics demonstrations; label generated exceptions as leads for human follow-up, never as confirmed fraud or misstatement.
Design in human review	Keep original model output, correction log, reviewer rationale and final approved wording together.

Conclusion and status

The comparison indicates useful independent identification of several prominent accounting themes and a concrete opportunity to broaden tax-risk coverage. It also demonstrates that thematic overlap must be tested at the level of the accounting mechanism. The original Version 1.1 assessment, priorities, mappings and 45 unperformed procedures remain unchanged. This v1.1 comparison addendum is now published separately from the independent case study; it remains a thematic learning exercise, not an audit-quality evaluation.

This remains an educational audit simulation. No statutory audit was performed by us, no GFG accounting records were tested, none of the 45 proposed procedures was executed, and no audit opinion is expressed.